

forecast what you will need in the future and how much you need to have.

There are just too many things that change in thirty years. We cannot imagine what prices, expenses and our own wants will be over that expanse of time. Did we know twenty years ago that every three years we'd be spending a small fortune on a hand-held gadget that also makes calls? Did we know that other than groceries and fuel, broadband cost will be part of the monthly family expense? And did we ever imagine that the Rs 50 we paid for a doctor's consultancy fee two decades away will balloon to Rs 1,500 in a five-star corporate hospital?

Inflation is relentless, and even when the rate of inflation falls it does not mean that prices go down. They just rise more slowly. Getting the right amount for retirement is a tough nut to crack. Targeting too large a number, making compromises on lifestyle today, and having too little is not something we want to think about. So how much is enough?

While most of the Western models look at a retirement corpus that will go to zero at age ninety or ninety-nine (people will keep eating into the capital till they either die or run out of money), this will not work in India.

From all the old people I know, the capital they have is sacrosanct. The last thing they will do is have a plan that draws down on the capital. The capital will be left as inheritance to the kids, along with the house and other assets. Given our own cultural background, how do we plan for our retirements? How do we know that we're on track?

Save your age

At age twenty-five save 25 per cent of your post-tax income, at age thirty save 30 per cent of your post-tax income. At age forty save 40 per cent. This formula works if you don't have a single rupee saved towards your retirement, till you are forty. For example, if you are forty years old and have not a rupee of provident fund or real estate or gold or mutual funds then you need to be saving very hard and will need to save 40 per cent of your post-tax income for your retirement. If your take-home pay is Rs 1 lakh a month, you are saving Rs 40,000 a month at age forty, but if you are thirty years old, you are saving only Rs 30,000.